

FEDERAL MARITIME COMMISSION

PETITION OF DOLE OCEAN CARGO
EXPRESS, INC. FOR AN EXEMPTION
FROM 46 C.F.R. § 530.10

Petition No. P4-18

Served: October 26, 2018

BY THE COMMISSION: Michael A. KHOURI, *Acting Chairman*;
and Rebecca F. DYE, *Commissioner*.

Order Granting Petition

I. PETITION

On September 14, 2018, Dole Ocean Cargo Express, Inc. (DOCE) filed with the Federal Maritime Commission (Commission) the above-captioned Petition for exemption from 46 C.F.R. § 530.10, pursuant to the Commission's Rules of Practice and Procedure at 46 C.F.R. § 502.94. The Notice of Filing and Request for Comments with respect to the Petition was published in the *Federal Register* on September 25, 2018, 83 Fed. Reg. 48424, and the comment period ended on October 2, 2018. No comment was filed with the Commission.

DOCE is an ocean common carrier. Pet. at 1. As part of an internal corporate restructuring, the assets of DOCE will be

transferred, on or about November 1, 2018, to a new limited liability company, Dole Ocean Cargo Express, LLC. *Id.* Among the assets being transferred are DOCE's service contracts with its customers, which will be assigned to the new company, Dole Ocean Cargo Express, LLC. *Id.*

There are over 200 service contracts that will be assigned to the new limited liability company. *Id.* The assignment of DOCE's service contracts to the new company requires the filing with the Commission of an amendment to each service contract. *Id.* DOCE asserts that "[i]t would be an undue burden on DOCE and the shipper parties to prepare and file an individual amendment for each of these service contracts." *Id.*

Therefore, in lieu of filing an amendment for each service contract as required by 46 C.F.R. § 530.10(b), DOCE requests that the Commission permit a universal notice to the service contract parties and to the Commission, notifying them of the corporate restructuring, filing of the Petition, service contract assignment to the new company, and shippers' right under their service contract to require formal amendments to their service contracts. *Id.* at 1-2.

DOCE further states that "[t]he existing DOCE tariffs will be terminated with a notice that will cross-reference the new Dole Ocean Cargo Express, LLC tariffs, which will govern the assigned service contracts, thereby eliminating the need to amend the service contracts to change the reference to the governing tariffs." *Id.* at 2. The limited liability company's tariffs "will be identical to the existing DOCE tariffs, so this change in governing tariffs will not alter the terms and conditions under which service is provided to service contract signatories." *Id.*

II. DISCUSSION

The Commission's regulations governing service contracts provide that "[s]ervice contracts may be amended by mutual agreement of the parties to the contract." 46 C.F.R. § 530.10(b).

Amendments to service contracts must be filed electronically with the Commission in the manner set forth in 46 C.F.R. § 530.8 and appendix A to 46 C.F.R. pt. 530.

Exemptions from the requirements of part 530 are governed by 46 U.S.C. § 40103 and the Commission's Rules of Practice and Procedure. 46 C.F.R. § 530.13(b). Under 46 U.S.C. § 40103(a), the Commission may grant exemptions from the Shipping Act, "if the Commission finds that the exemption will not result in substantial reduction in competition or be detrimental to commerce." 46 U.S.C. § 40103(a).

DOCE's Petition seeks an exemption from filing service contract amendments, relief that is "purely administrative in nature" necessitated by its internal corporate restructuring. Pet. at 1, 3. The Commission has generally granted exemptions from 46 C.F.R. § 530.10 in similar situations. *See Pet. of COSCO Container Lines Co. Ltd.*, 34 S.R.R. 97 (FMC 2016); *Pet. of Crowley Caribbean Servs., LLC*, 33 S.R.R. 1461 (FMC 2016); *Pet. of Compania Sud Americana de Vapores S.A.*, 33 S.R.R. 934 (FMC 2015); *Pet. of Hanjin Shipping Co., Ltd.*, 31 S.R.R. 1080 (FMC 2009).

The Commission similarly concludes that granting the Petition in this case will not result in a substantial reduction in competition or be detrimental to commerce. As noted in the Petition, the shipper parties to the affected service contracts will receive from the new company, with no or minimal interruption, the same transportation services they presently receive from DOCE. In addition, the Commission believes that DOCE's proposed measures, comparable to conditions imposed on previously granted exemptions from § 530.10, offer adequate protection against any potential harm to competition or commerce. As described in DOCE's proposed notice to shipper parties, formal consents or amendments can be prepared if a party so requests. Additionally, DOCE's tariffs will be terminated with a notice cross-referencing the new Dole Ocean Cargo Express, LLC tariffs that will govern the assigned service contracts.

The Commission is placing an additional condition on the exemption. Specifically, the Commission notes that the text of DOCE's proposed notice regarding the assignment requests that shipper parties notify DOCE by October 1, 2018, if a formal consent or individual amendment is required, and that if the shipper party does not reply by that date or continues to tender cargo after November 1, 2018, DOCE will assume that the shipper party agreed to the assignment and does not require a formal consent or amendment. It is unclear when DOCE anticipated distributing this notice, but, assuming it was not distributed sometime before October 1, 2018, these dates must be updated to allow shipper parties a reasonable amount of time to consider their options in light of the assignment. The Commission believes that DOCE should provide at least seven days from the date of its notice for shipper parties to request a formal consent or individual amendment.

III. CONCLUSION

For the reasons discussed above, the Commission grants the Petition, subject to the conditions stated below.

THEREFORE, IT IS ORDERED, That DOCE's Petition is GRANTED, provided that:

1. Upon granting of the Petition, DOCE notifies, in the form and manner set forth in the Petition, all affected shippers of the change in carrier parties to the service contracts, and provides at least seven (7) calendar days for shipper parties to request a formal consent or individual amendment to a service contract;
2. As soon as practical but not later than five days after the date of this order, DOCE file a Universal Notice with the Commission through SERVCON, enumerating all affected service contracts; and
3. If any affected shipper opts to file an individual amendment, such

amendment shall be promptly filed pursuant to 46 C.F.R. § 530.10(b).

IT IS FURTHER ORDERED, that this proceeding is discontinued.

By the Commission.

Rachel E. Dickon
Secretary